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AGREEMENT OF LEASE

Commercial premises · Oakridge Business Park

1. PARTIES

1.1 This agreement of lease is entered into between **Oakridge Property Holdings (Pty) Ltd (sample)**, registration number 2009/000000/07 ("the Landlord"), and **Marula Office Supplies (Pty) Ltd**, registration number 2014/000000/07 ("the Tenant").

1.2 The parties record that the Tenant has inspected the Premises and wishes to hire them on the terms of this lease.

2. DEFINITIONS AND INTERPRETATION

2.1 In this lease, unless the context indicates otherwise, the following words have the meanings given to them below:

2.1.1 "**Building**" means the office building known as Oakridge Business Park, erected on Erf 000, Sampleton, together with its parking areas and grounds;

2.1.2 "**Business Day**" means any day other than a Saturday, Sunday or public holiday in the Republic of South Africa;

2.1.3 "**Commencement Date**" means 1 February 2024;

2.1.4 "**Common Areas**" means those parts of the Building intended for use by all tenants, including entrances, passages, lifts, toilets and landscaped areas;

2.1.5 "**Deposit**" means the amount referred to in clause 6.1;

2.1.6 "**Landlord's Agent**" means any managing agent appointed by the Landlord from time to time and notified to the Tenant in writing;

2.1.7 "**Lease Period**" means the period commencing on the Commencement Date and ending on 31 January 2027, both days inclusive, and "Expiry Date" means the last day of that period;

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2.1.8 "**Operating Costs**" means the Tenant's proportionate share of the costs referred to in clause 7, calculated on the basis of the rentable area of the Premises as a percentage of the rentable area of the Building, being 8.6% (eight comma six percent);

2.1.9 "**Premises**" means Unit 4, Oakridge Business Park, 12 Sample Road, Sampleton, measuring approximately 412 m² (four hundred and twelve square metres), as shown on the plan in Schedule 1;

2.1.10 "**Prime Rate**" means the publicly quoted base rate of interest at which the Landlord's bankers lend on overdraft, as certified by any manager of that bank;

2.1.11 "**Rent**" means the monthly rent for the relevant year of the Lease Period set out in Schedule 2, excluding VAT;

2.1.12 "**VAT**" means value-added tax levied in terms of the Value-Added Tax Act 89 of 1991.

2.2 Clause headings are for convenience only and shall not be used in interpreting this lease. Words importing the singular include the plural and vice versa.

2.3 Where any number of days is prescribed, it shall exclude the first and include the last day, unless the last day falls on a day that is not a Business Day, in which case the last day shall be the next Business Day.

3. LETTING AND HIRING

3.1 The Landlord lets to the Tenant, who hires, the Premises together with the right to use the Common Areas in common with other tenants of the Building.

4. DURATION

4.1 This lease shall endure for the Lease Period, being a period of 3 (three) years.

4.2 The Tenant shall take occupation on the Commencement Date. The Landlord shall not be liable for any delay in giving occupation caused by a previous occupant holding over.

5. RENT

5.1 The Tenant shall pay the Rent, together with VAT, monthly in advance on or before the first Business Day of each month, without deduction or set-off, into the bank account nominated by the Landlord in writing.

5.2 The Rent shall escalate on each anniversary of the Commencement Date by 8% (eight percent) of the Rent payable in the immediately preceding year, as reflected in Schedule 2.

5.3 Any amount not paid on due date shall bear interest at the Prime Rate plus 2% (two percent), calculated daily and compounded monthly, from due date until the date of payment.

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6. DEPOSIT

6.1 Before taking occupation, the Tenant shall pay the Landlord a deposit equal to two months' Rent at the rate applicable in the final year of the Lease Period, being R64 000.00 (sixty-four thousand rand).

6.2 The Landlord shall hold the Deposit as security for the Tenant's obligations under this lease and may apply it towards any amount owing by the Tenant. The Tenant may not set off the Deposit against Rent.

6.3 The Deposit, less any amount owing, shall be refunded within 14 (fourteen) days after the Tenant has vacated the Premises and the Landlord has inspected them.

7. OPERATING COSTS AND MUNICIPAL CHARGES

7.1 In addition to the Rent, the Tenant shall pay its Operating Costs in respect of any increase in rates and taxes, refuse removal and insurance premiums levied on the Building above the amounts levied in the first year of the Lease Period.

7.2 Electricity and water consumed in the Premises shall be measured by sub-meter and paid by the Tenant monthly on presentation of the Landlord's statement, at the tariff charged by the local authority.

7.3 The Tenant shall be liable for the cost of any separately metered air-conditioning serving only the Premises.

8. USE

8.1 The Premises shall be used as offices and for the storage of office stationery incidental to the Tenant's business, and for no other purpose.

8.2 The Tenant shall comply with the rules of the Building issued by the Landlord from time to time and with all laws and by-laws relating to the use of the Premises.

9. MAINTENANCE AND REPAIRS

9.1 The Tenant shall keep the interior of the Premises, including all glass, doors, locks, light fittings and floor coverings, in good order and repair, fair wear and tear excepted.

9.2 The Landlord shall maintain the roof, exterior walls, structure and main services of the Building, and the Common Areas.

9.3 The Tenant shall notify the Landlord in writing of any defect for which the Landlord is responsible. The Tenant shall have no claim against the Landlord unless the Landlord fails to remedy the defect within a reasonable time after notice.

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10. ALTERATIONS

10.1 The Tenant shall make no structural alterations or additions to the Premises without the Landlord's prior written consent. Any approved alterations shall, at the Landlord's election, be removed or remain on termination, without compensation.

11. INSURANCE

11.1 The Landlord shall insure the Building against fire and other risks for its full replacement value. The Tenant shall insure its own contents, stock and fittings.

11.2 The Tenant shall not do anything that may increase the premium on, or void, the Landlord's insurance.

12. ACCESS AND INSPECTION

12.1 The Landlord and its agents may enter the Premises at reasonable times, on reasonable notice, to inspect them, carry out repairs or show them to prospective tenants or purchasers.

13. SIGNAGE

13.1 The Tenant may, at its cost, display its name on the Building directory board and at the entrance to the Premises in a form approved by the Landlord.

14. CESSION AND SUBLETTING

14.1 The Tenant shall not cede its rights, sublet the Premises or give up possession of any part of them without the Landlord's prior written consent, which shall not be unreasonably withheld.

15. BREACH

15.1 If the Tenant fails to pay any amount on due date, or breaches any other term of this lease and fails to remedy that breach within 7 (seven) days of written notice, the Landlord may cancel this lease, without prejudice to any claim for damages.

15.2 In any dispute arising from cancellation, the Tenant shall continue to pay an amount equal to the Rent monthly in advance while it remains in occupation, without prejudice to its rights.

16. HOLDING OVER

16.1 If the Tenant remains in occupation after the Expiry Date without a new lease being concluded, it shall do so on a monthly basis on the terms of this lease, terminable by either party on one calendar month's notice.

17. LANDLORD'S HYPOTHEC

17.1 The Tenant records that it is aware of the Landlord's tacit hypothec over movable property on the Premises to secure amounts owing under this lease.

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18. RENEWAL

18.1 The Tenant shall have the option to renew this lease for a further period of 3 (three) years on terms to be agreed.

18.2 The Tenant shall exercise the option by written notice to the Landlord given not less than two calendar months before the Expiry Date.

18.3 If notice is not given as required, the option lapses.

18.4 If the parties cannot agree the Rent for the renewal period within 30 (thirty) days of the option being exercised, it shall be determined by an independent valuer appointed by the chairperson of the local property owners' association, acting as an expert and not an arbitrator.

19. PROTECTION OF PERSONAL INFORMATION

19.1 Each party shall process personal information received from the other only for the purposes of this lease and in accordance with the Protection of Personal Information Act 4 of 2013.

20. DOMICILIUM AND NOTICES

20.1 The parties choose as their domicilia citandi et executandi the addresses set out in Schedule 1, at which all notices and legal process may be delivered.

20.2 Any notice given in terms of this lease shall be in writing. A notice sent by email shall be deemed received on the first Business Day after it is sent.

21. GENERAL

21.1 This lease constitutes the whole agreement between the parties. No variation or cancellation shall be of any effect unless reduced to writing and signed by both parties.

21.2 No indulgence granted by a party shall constitute a waiver of any of that party's rights.

21.3 The parties consent to the jurisdiction of the Magistrate's Court having jurisdiction over the Premises, notwithstanding that the amount in dispute may exceed that court's jurisdiction.

21.4 The Tenant shall pay the Landlord's legal costs, on the attorney-and-client scale, of enforcing any of the Tenant's obligations.

21.5 This lease may be signed in counterparts, each of which is an original and which together constitute one agreement.

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SCHEDULE 1 · PREMISES AND DOMICILIA

Premises	Unit 4, ground floor, Oakridge Business Park
Rentable area	412 m²
Parking	6 (six) covered bays, included in the Rent
Landlord's domicilium	Oakridge House, 2 Sample Avenue, Sampleton · leasing@oakridge.example
Tenant's domicilium	The Premises · admin@marula.example

SCHEDULE 2 · RENT

The monthly Rent, excluding VAT, payable in terms of clause 5 is as follows:

Period	Monthly rent	Rate / m²
Year 1 · 1 Feb 2024 – 31 Jan 2025	R27 435.00	R66.59
Year 2 · 1 Feb 2025 – 31 Jan 2026	R29 630.00	R71.92
Year 3 · 1 Feb 2026 – 31 Jan 2027	R32 000.00	R77.67

SIGNED AT SAMPLETON

SIGNATURES

For Oakridge Property Holdings (Pty) Ltd (sample)

R. Botha, Director

Signed · 20 Jan 2024

For Marula Office Supplies (Pty) Ltd

L. Naidoo, Director

Signed · 22 Jan 2024

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